FINANCIAL DILIGENCE SUPPORT - RECORD 012

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-012

1. How the reported figures are assembled and where the process is weak

The reported figures are the output of a monthly close process with identifiable weaknesses, and this section describes that process rather than assuming it operates. Against the ledger,, contract amendments are stored in a shared drive without a register, so the reviewer built the amendment population from the contract files themselves. By agreement,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption.

On the documents,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger. In substance,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. On the balance,, revenue recognition decisions are made contract by contract without a standing checklist, so treatment depends on who prepared the memorandum. On a second read, a prepaid correction of $46,900 appears as JE-25-0455 on 2025-05-01. Per the workpaper,, a maintenance contract expensed on payment in 2024 was partially reinstated as a prepaid asset in 2025. For this prepaid correction, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. For this prepaid correction the preparer was L. Brantley, approved by M. Okonjo. On this prepaid correction, the item was projected across the population on the basis stated in the accompanying schedule.

In substance,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off. As matters stand,, ranges are used where evidence supports a range, and the low end of a range is used when the reviewer must choose a single figure for a schedule. As matters stand,, certain amounts described here as agreed were agreed with management during fieldwork and have not been re-presented in a revised set of financial statements. On the merits, fieldwork identified JE-25-0388, posted 2025-04-04 by R. Calloway with no approver recorded, for $18,460 and classified as a unapproved manual entry. On a second read,, penalty interest on the equipment facility was reclassified from interest expense to other expense without approval. The reclassification has no effect on the earnings measure; the missing approval is reported as a control observation. On this unapproved manual entry, a small residual difference remains and is reported rather than described as immaterial and omitted.

In detail,, no financial statement for any period in scope has been audited; FY2024 and FY2025 were subject to a review engagement and the 2026 stub has had no external involvement at all. In the file,, accruals were historically raised from invoices rather than from receiving and shipping records, which is the direct cause of the cutoff errors identified. As to the facts,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. In detail, a self-approved entry of $186,400 appears as JE-25-0822 on 2025-08-29. In sequence,, the severance accrual for the departing operations leader was prepared and approved by the same person. For this self-approved entry, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. For this self-approved entry the preparer was R. Calloway, approved by R. Calloway. On this self-approved entry, the item was raised in the interim update and is carried forward unchanged into this file.

At the cut-off,, every schedule ties from a named source system extract to the reported figure through individually identified differences. On reperformance,, pro forma items are separated from normalizations so that a reader can adopt one class without accepting the other. On the record,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only. At the cut-off, the reviewer selected JE-24-1103, posted 2024-12-31 by T. Vasquez approved by M. Okonjo, for $74,900 and classified as a reversal of a prior accrual. In the event,, the FY2024 bonus accrual was reversed in full on the last day of the year following a board decision recorded only in an email. The reversal is factually supported but the reviewer treats the benefit as a timing item on the adjustment schedule. On this reversal of a prior, the evidence file for this item includes an email chain that fixes the date on which the parties agreed.

Read narrowly,, management prepares monthly reporting on a basis that differs from the statutory ledger in three respects, each of which is identified and removed before any analysis begins. From the extract,, management represented that the retention-contingent portion of the deferred consideration is genuinely contingent, and the retention agreements

have only partly been provided. On the papers,, adjustments are presented gross with their direction stated, rather than netted, so that a reader can rebuild the measure from reported results. JE-25-0142 is a round-dollar entry of $42,000 posted on 2025-02-28. By agreement,, a round accrual for recruiting fees was posted before the search firm's invoice arrived. On this round-dollar entry, the supporting document was produced after two requests and its late arrival is noted in the register. This round-dollar entry was prepared by L. Brantley and approved by M. Okonjo. The invoice differed by a small amount and the accrual was trued up in March 2025; no further action required.

2. Unbilled amounts, deposits and the working capital they create

Working capital in this business is created by the contracts rather than by trade terms, so the analysis starts from the contract population and not from the aged reports. On the record,, segregation between preparer and approver was not enforced until the November 2024 workflow change, and self-approved entries appear on both sides of that date. Read narrowly,, pro forma items are separated from normalizations so that a reader can adopt one class without accepting the other.

HC-2121 (Redbank Distribution) runs 48 months from 2025-11-14. On its facts,, hardware in two tranches, a subscription with a committed minimum, and a deployment obligation with liquidated damages for late go-live. Under Redbank Distribution, the item is presented gross so that a reader can rebuild the measure from reported results. Redbank Distribution carries contracted hardware of $2,398,400, annual subscription value of $1,186,500 and a deployment fee of $342,500 across the contracted term. A April 2026 amendment reset the go-live date and waived accrued liquidated damages in exchange for a term extension. For Redbank Distribution, the item was projected across the population on the basis stated in the accompanying schedule. HC-2168 (Ashcombe Beverage Distribution) runs 36 months from 2024-10-30. On the substance,, hardware and subscription with a deployment obligation performed partly by the customer's engineering team under supervision. Under Ashcombe Beverage Distribution, the item was traced from the summary schedule through the sub-ledger to the source document. Ashcombe Beverage Distribution carries contracted hardware of $1,324,600, annual subscription value of $682,900 and a deployment fee of $178,000 across the contracted term. On Ashcombe Beverage Distribution, the reviewer confirmed the amount does not also sit within the working capital peg. For Ashcombe Beverage Distribution, the reviewer left the amount unchanged after review but strengthened the evidence reference. On the record, testing reached HC-2144 with Vantage Cold Storage, signed 2026-04-07 for 36 months and carrying contracted hardware of $1,368,700, annual subscription value of $704,500 and a deployment fee of $186,500. In this stream,, hardware, subscription and a validation obligation similar in structure to the Meridian contract but with a fixed-fee validation. No amendments; a change request for additional units was pending at the cut-off and had not been priced. The pending change request is disclosed as an open item because it may create variable consideration in the period after the cut-off. Under Vantage Cold Storage, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree.

On the balance, the reviewer read HC-2162 with Zephyr Retail Logistics, signed 2025-06-12 for 42 months and carrying contracted hardware of $2,064,800, annual subscription value of $998,400 and a deployment fee of $286,000. From the extract,, four obligations including a hosted analytics module sold as an add-on with its own renewal cycle. A December 2025 amendment moved the analytics module onto the master subscription term, aligning the renewal dates. The amendment was accounted for prospectively; the reviewer tested whether the remaining goods and services were distinct and concluded prospective treatment is supportable. Under Zephyr Retail Logistics, a second preparer reperformed the arithmetic and reached the same figure to the dollar. HC-2086 (Kadence Industrial Holdings) runs 60 months from 2025-04-24. In the file,, across Kadence Industrial Holdings, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. The largest contract in the population: five facilities, staged hardware transfer, a master subscription with volume tiers, and a managed deployment obligation with a dedicated crew. Under Kadence Industrial Holdings, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. Kadence Industrial Holdings carries contracted hardware of $4,128,700, annual subscription value of $2,046,500 and a deployment fee of $612,000 across the contracted term. Three amendments across 2025 and 2026 adjusted the facility sequence, added a spare parts pool and introduced an annual price escalator. Volume tier pricing creates variable consideration; management estimated the tier achieved rather than constraining to the minimum, and the estimate was tested against actual unit counts. On a second read, Northfield Grocers contracted under HC-2098 on 2025-07-11. On the balance,, two stores take a compact picking cell each, on a bundled monthly fee with no

separate hardware invoice. The bundled structure was unchanged; a side letter in December 2025 added an early termination right after month eighteen. Commercially Northfield Grocers carries contracted hardware of $764,300, annual subscription value of $412,600 and a deployment fee of $108,000 over 24 months. Because the fee is bundled, allocation depends entirely on estimated standalone selling prices; the estimate has not been refreshed since contract inception. Under Northfield Grocers, the reviewer recorded that no comparable item was found in the two earlier periods examined.

On testing, Harborline Systems contracted under HC-2081 on 2025-03-08. From the extract,, across Harborline Systems, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. A proof-of-concept converted to a production contract, with the original pilot fee credited against the first production invoice. The conversion in November 2025 was documented as a new contract rather than a modification, which changes how the credited pilot fee is treated. Commercially Harborline Systems carries contracted hardware of $486,900, annual subscription value of $264,000 and a deployment fee of $74,500 over 18 months. Pilot fees were recognized on invoice eleven weeks before the service window began, which the reviewer adjusted. Under Harborline Systems, the item is presented gross so that a reader can rebuild the measure from reported results. On reperformance, Fathom Mobility contracted under HC-2069 on 2024-11-21. On the balance,, one retrofit site with hardware transferring in two tranches, a subscription that begins at first tranche go-live, and an integration obligation delivered by a subcontractor. A February 2026 amendment substituted a newer chassis variant at no price change and extended warranty cover by twelve months. Commercially Fathom Mobility carries contracted hardware of $918,500, annual subscription value of $486,000 and a deployment fee of $124,000 over 30 months. For Fathom Mobility, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. Under Fathom Mobility, the reviewer notes that management agreed the facts while reserving its position on the treatment. Per the register, Thornbury Wholesale contracted under HC-2133 on 2026-02-20. On inspection,, across Thornbury Wholesale, the reviewer confirmed the amount does not also sit within the working capital peg. Hardware, subscription and a training obligation delivered in three sessions across the first quarter of service. A May 2026 amendment added a fourth training session and a small fee increase. Commercially Thornbury Wholesale carries contracted hardware of $886,400, annual subscription value of $458,900 and a deployment fee of $118,500 over 30 months. For Thornbury Wholesale, a second preparer reperformed the arithmetic and reached the same figure to the dollar. Under Thornbury Wholesale, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected.

As matters stand, Yarrow Distribution Partners contracted under HC-2156 on 2026-06-04. In sequence,, signed within the final month of the review period, with no revenue recognized by the cut-off and a deployment fee invoiced in advance. No amendments; the advance invoice creates a deferred revenue balance that was traced into the closing rollforward. Commercially Yarrow Distribution Partners carries contracted hardware of $1,582,300, annual subscription value of $786,200 and a deployment fee of $214,500 over 36 months. Because no performance had occurred, the entire invoice should sit in deferred revenue; testing confirmed it does. Under Yarrow Distribution Partners, the reviewer recorded that no comparable item was found in the two earlier periods examined. On the papers, the obligation analysis covers HC-2150 with Westbourne Grocery, signed 2026-05-19 for 18 months and carrying contracted hardware of $384,500, annual subscription value of $212,400 and a deployment fee of $54,000. From the extract,, a short-term contract taken to test a smaller-format cell, with hardware, subscription and a minimal onboarding element. No amendments; the customer has an option to convert to a thirty-six month term at a stated price. For Westbourne Grocery, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. Under Westbourne Grocery, the conclusion rests on a document produced by a third party rather than by the company. On reperformance, also within scope is HC-2063 with Evergreen Warehousing, signed 2024-09-05 for 36 months and carrying contracted hardware of $2,104,300, annual subscription value of $1,128,400 and a deployment fee of $268,500. Per the workpaper,, across Evergreen Warehousing, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. Two distribution centres take hardware on acceptance, share a single subscription measured by active units, and buy an onboarding package that includes operator training. A July 2025 amendment reduced the unit count by four following a layout change and issued a partial credit against the deployment fee. An overpayment received in March 2026 was applied to revenue rather than held as a customer credit, which testing identified as an unrecorded liability. Under Evergreen Warehousing, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference.

Per the workpaper, Meridian Cold Chain contracted under HC-2092 on 2025-05-30. Read narrowly,, refrigerated environment units transfer on acceptance after a thermal validation period, with a subscription and a validation services obligation. On Meridian Cold Chain, the reviewer recorded that no comparable item was found in the two earlier periods examined. Commercially Meridian Cold Chain carries contracted hardware of $1,486,200, annual subscription value of $742,800 and a deployment fee of $196,000 over 36 months. Revenue for the validation obligation was recognized before the extended validation completed; the cutoff test flagged the timing. Under Meridian Cold Chain, the reviewer left the amount unchanged after review but strengthened the evidence reference. On a second read, Blue Mesa Components contracted under HC-2047 on 2024-04-02. At the cut-off,, across Blue Mesa Components, the reviewer recorded that no comparable item was found in the two earlier periods examined. A single line replenishment cell transfers on delivery, and the subscription and remote monitoring service are billed together but delivered continuously. On Blue Mesa Components, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. Commercially Blue Mesa Components carries contracted hardware of $612,400, annual subscription value of $348,000 and a deployment fee of $86,500 over 24 months. For Blue Mesa Components, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. Under Blue Mesa Components, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. On reperformance, the reviewer's read of HC-2173 with Brackenridge Supply, signed 2025-02-06 for 30 months and carrying contracted hardware of $1,046,700, annual subscription value of $548,300 and a deployment fee of $142,500. On any view,, across Brackenridge Supply, the conclusion would change if the missing supporting document is later produced in a different form. Standard three-obligation structure with a twelve-month ramp on the subscription price, so billed and recognized amounts diverge through the ramp. On Brackenridge Supply, the item was projected across the population on the basis stated in the accompanying schedule. For Brackenridge Supply, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. Under Brackenridge Supply, the conclusion rests on a document produced by a third party rather than by the company.

Schedule 12.1 - Monthly working capital build

Month	Receivables ($)	Unbilled ($)	Inventory ($)	Prepaid ($)	Payables ($)	Accrued ($)	Deferred revenue ($)	Net working capital ($)
2024-02	4,312,108	1,677,985	1,944,924	750,245	(2,382,255)	(2,285,710)	(4,139,090)	(121,793)
2024-03	5,525,080	2,368,792	3,118,459	442,388	(2,428,922)	(1,159,350)	(4,942,369)	2,924,078
2024-04	6,369,718	1,446,709	2,388,976	348,768	(2,120,544)	(1,668,190)	(5,102,147)	1,663,290
2024-05	4,559,707	1,055,700	2,873,352	582,380	(3,843,399)	(1,985,108)	(6,033,873)	(2,791,241)
2024-06	3,184,525	1,408,149	2,365,558	767,375	(3,125,695)	(2,081,220)	(6,240,660)	(3,721,968)
2024-07	3,834,863	1,225,220	2,811,836	641,205	(2,746,946)	(1,713,949)	(6,342,301)	(2,290,072)
2024-08	6,385,699	1,221,920	2,859,757	603,786	(3,149,323)	(2,339,825)	(6,537,614)	(955,600)
2024-09	6,025,865	2,250,670	2,814,080	725,568	(1,708,490)	(1,553,139)	(6,412,614)	2,141,940
2024-10	6,785,867	1,961,400	2,012,419	403,720	(3,339,405)	(1,303,379)	(5,405,386)	1,115,236
2024-11	5,452,913	643,703	2,233,219	709,278	(2,240,822)	(1,220,169)	(4,631,877)	946,245
2024-12	4,814,557	2,252,146	2,058,645	625,724	(2,309,360)	(2,132,404)	(5,091,592)	217,716
2025-01	3,520,689	1,130,254	2,770,784	465,765	(2,103,720)	(1,492,151)	(5,092,709)	(801,088)

2. Unbilled amounts, deposits and the working capital they create - part 2 of 2

Following on directly, these further rows of the 2. Unbilled amounts, deposits and the working capital they create belong to the same schedule and share its numbering. The parts are to be read together.

Qualifications noted at the head of the 2. Unbilled amounts, deposits and the working capital they create apply to these rows equally, and are not restated for each part. The parts are to be read together.

Schedule 12.1 - Monthly working capital build (continued, part 2 of 2)

Month	Receivables ($)	Unbilled ($)	Inventory ($)	Prepaid ($)	Payables ($)	Accrued ($)	Deferred revenue ($)	Net working capital ($)
2025-02	5,292,903	1,664,558	2,902,422	522,556	(1,657,542)	(2,223,548)	(4,267,016)	2,234,333
2025-03	6,327,407	2,027,345	2,333,297	380,002	(1,915,940)	(1,763,161)	(4,171,696)	3,217,254
2025-04	3,592,502	1,344,381	2,547,089	604,488	(3,853,354)	(2,163,939)	(4,524,634)	(2,453,467)
2025-05	4,066,127	2,206,013	3,105,363	444,955	(3,867,198)	(1,575,421)	(5,121,055)	(741,216)
2025-06	5,363,186	749,626	2,372,011	597,010	(2,970,933)	(1,418,550)	(5,213,918)	(521,568)
2025-07	3,335,411	2,376,535	2,865,115	557,214	(1,712,965)	(1,800,087)	(4,982,334)	638,889
2025-08	3,384,486	1,683,622	3,391,969	730,364	(1,789,694)	(1,203,336)	(5,058,397)	1,139,014
2025-09	4,732,810	1,589,051	2,625,689	741,214	(2,384,623)	(2,258,806)	(5,512,373)	(467,038)
2025-10	4,145,578	733,377	2,428,987	498,481	(1,850,741)	(1,138,344)	(6,439,905)	(1,622,567)

Month	Receivables ($)	Unbilled ($)	Inventory ($)	Prepaid ($)	Payables ($)	Accrued ($)	Deferred revenue ($)	Net working capital ($)
2025-11	4,053,890	1,817,513	2,867,095	552,977	(3,676,040)	(1,328,587)	(6,824,803)	(2,537,955)
2025-12	6,692,218	2,011,324	3,059,472	733,712	(2,510,873)	(1,623,902)	(7,115,885)	1,246,066
2026-01	6,486,599	2,176,102	2,942,106	455,077	(3,648,294)	(1,222,066)	(7,699,506)	(509,982)

3. Deferred revenue movement and its agreement to two source systems

The rollforward begins from the opening contract liability and closes on the balance the ledger reports, with every movement between the two individually identified. On the record,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. On this point,, cash application is performed by the same person who maintains the customer master, which is what allowed an overpayment to be applied to a settled invoice.

RS-029 covers hosted analytics module on HC-2162. Per the register,, the December 2025 amendment was accounted for prospectively; the remaining goods and services are distinct, so prospective treatment is supportable. On hosted analytics module, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. The hosted analytics module amount was recognized in 2026-01 and tested against 2026-01. For hosted analytics module the exception is classified as modification, and no amount effect could be quantified from the available support. Taken alone, under HC-2127 the channel partner referral fee obligation was recognized in 2026-03. On the documents,, the company is not the principal for the partner-delivered deployment work, and only the referral fee is recorded. No exception was recorded. The workpaper for channel partner referral fee is RS-023, tested against 2026-03. On channel partner referral fee, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. RS-026 covers fixed-fee validation on HC-2144. On the documents,, the validation obligation was delivered inside the period; a pending change request for additional units remains unpriced and is disclosed. On fixed-fee validation, the item is cross-referenced to the corresponding entry in the information request register. The fixed-fee validation amount was recognized in 2026-06 and tested against 2026-06. No exception was recorded.

On this point, the reviewer reperformed RS-012, the service level credit accrual obligation under HC-2074, recognized in 2025-11 and tested against 2025-09. At the cut-off,, credits earned under the August 2025 service level commitment were recorded when the credit memo issued rather than in the months the shortfall occurred. For service level credit accrual the exception is classified as variable consideration with an amount effect of $46,200. On service level credit accrual, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. On its facts, the sample includes RS-033, the purchased conversion of leased units obligation under HC-2052, recognized in 2026-01 and tested against 2026-01. In review,, twelve leased units converted to purchased units in January 2026; the residual lease liability was released to revenue rather than against the receivable. For purchased conversion of leased units the exception is classified as modification with an amount effect of $32,600. On purchased conversion of leased, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. On the source, under HC-2168 the deployment fee refund obligation was recognized in 2025-09. On its facts,, a partial refund of the deployment fee was recorded as a revenue reduction in the month of payment rather than against the periods in which the fee had been recognized. For deployment fee refund the exception is classified as timing with an amount effect of $41,200. The workpaper for deployment fee refund is RS-030, tested against 2024-11. On deployment fee refund, the item was raised in the interim update and is carried forward unchanged into this file.

RS-016 covers managed deployment - facility two on HC-2086. Against the ledger,, crew timesheets, the customer's site log and the milestone invoice agree on the completion date. On managed deployment facility, no further procedures were considered necessary once the source document had been inspected. The managed deployment - facility two amount was recognized in 2026-05 and tested against 2026-05. No exception was recorded. Per the index, under HC-2063 the customer overpayment applied to revenue obligation was recognized in 2026-03. On the substance,, an overpayment received in March 2026 was applied against an invoice already settled and released to revenue rather than held as a customer credit. For customer overpayment applied to revenue the exception is classified as completeness with an amount effect of $53,400. The workpaper for customer overpayment applied to revenue is RS-036, tested against None. On customer overpayment applied to, a small residual difference remains and is reported rather than described as immaterial and omitted. RS-009 covers subscription - unit count reduction on HC-2063. Per the register,, the July 2025 amendment reduced the active unit count from the start of July, but the billing system continued to invoice the original

count for one further cycle. On subscription unit count, the amount was agreed to the underlying system extract without a residual difference. The subscription - unit count reduction amount was recognized in 2025-08 and tested against 2025-07. For subscription - unit count reduction the exception is classified as timing with an amount effect of $34,800.

Per the workpaper, the population yielded RS-027, the conversion option obligation under HC-2150, recognized in 2026-06 and tested against 2026-06. Read narrowly,, the conversion option is priced at the standard rate, so no material right arises and no consideration is allocated to it. No exception was recorded. On conversion option, the item was projected across the population on the basis stated in the accompanying schedule. On the balance, a further sample item, RS-003, the bundled monitoring service obligation under HC-2047, recognized in 2025-08 and tested against 2025-08. On the evidence,, no observable standalone price exists for the monitoring element, and the expected cost plus margin estimate was reperformed within a range the reviewer accepts. For bundled monitoring service the exception is classified as estimate, and no amount effect could be quantified from the available support. On bundled monitoring service, a small residual difference remains and is reported rather than described as immaterial and omitted. In substance, the reviewer traced RS-031, the subscription ramp - contract asset obligation under HC-2173, recognized in 2025-06 and tested against 2025-06. Taken alone,, the contract asset created by the twelve-month price ramp agrees to the contract but is presented within trade receivables rather than separately. For subscription ramp - contract asset the exception is classified as presentation, and no amount effect could be quantified from the available support. On subscription ramp contract, this is one of the items the seller's adviser has indicated it will contest at the closing meeting.

Schedule 12.2 - Deferred revenue rollforward

Month	Opening ($)	Billings ($)	Recognized ($)	Modifications ($)	Refunds ($)	Closing ($)	GL tie difference ($)
2024-06	6,033,873	1,669,587	1,269,317	(143,946)	(49,537)	6,240,660	296
2024-07	6,240,660	1,888,595	1,746,980	14,620	(54,594)	6,342,301	(1,844)
2024-08	6,342,301	1,545,237	1,307,529	23,092	(65,487)	6,537,614	(1,180)
2024-09	6,537,614	1,771,696	1,936,859	60,120	(19,957)	6,412,614	3,278
2024-10	6,412,614	1,350,322	2,199,370	(119,072)	(39,108)	5,405,386	3,318
2024-11	5,405,386	1,225,966	1,815,684	(124,865)	(58,926)	4,631,877	685
2024-12	4,631,877	1,805,787	1,210,620	(121,769)	(13,683)	5,091,592	(793)
2025-01	5,091,592	1,877,735	1,819,520	(52,102)	(4,996)	5,092,709	(552)
2025-02	5,092,709	1,492,994	2,228,680	(17,341)	(72,666)	4,267,016	1,632
2025-03	4,267,016	1,327,157	1,294,054	(68,401)	(60,022)	4,171,696	3,365
2025-04	4,171,696	2,457,974	2,040,075	(64,117)	(844)	4,524,634	(2,213)
2025-05	4,524,634	2,329,646	1,597,653	(85,153)	(50,419)	5,121,055	(2,459)
2025-06	5,121,055	1,732,018	1,636,535	33,998	(36,618)	5,213,918	2,891
2025-07	5,213,918	1,929,085	2,063,330	(41,390)	(55,949)	4,982,334	(1,959)
2025-08	4,982,334	1,843,950	1,703,812	(20,090)	(43,985)	5,058,397	1,485
2025-09	5,058,397	1,828,620	1,281,890	(27,738)	(65,016)	5,512,373	1,774
2025-10	5,512,373	2,386,491	1,373,890	(79,470)	(5,599)	6,439,905	2,065
2025-11	6,439,905	1,533,563	1,199,684	53,066	(2,047)	6,824,803	(120)
2025-12	6,824,803	2,234,338	1,944,998	62,047	(60,305)	7,115,885	902
2026-01	7,115,885	1,882,071	1,249,104	(30,429)	(18,917)	7,699,506	803
2026-02	7,699,506	2,459,582	2,123,500	(74,611)	(44,294)	7,916,683	1,841
2026-03	7,916,683	2,206,537	1,849,095	(127,325)	(34,880)	8,111,920	(2,333)
2026-04	8,111,920	2,270,091	2,121,926	19,943	(5,239)	8,274,789	2,301
2026-05	8,274,789	2,452,946	1,903,304	79,739	(64,235)	8,839,935	(1,953)

4. Setting a normalized level and what it leaves out

Seasonality in this business is real and documented, which means an average-based peg and a month-end peg give materially different answers. Per the workpaper,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. In the file,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption.

On a second read, the schedule presents operating lease - fremont facility at $4,186,200, provisionally classified as operating lease. On this point,, the recorded lease liability is a contractual obligation to pay money, which some buyers treat as debt-like. The rent is already inside EBITDA as an operating cost, so counting the liability as debt charges the same obligation twice. Excluded from net debt because rent remains in the earnings measure; disclosed for transparency. On Operating lease Fremont, the direction of this item is unfavourable to the seller and it is reported on the same basis as

the favourable items. On the source, also argued in both directions is customer credits and unapplied cash owed at $196,400, provisionally classified as debt-like. Read narrowly,, these are amounts the company owes customers for overpayments and service credits, with no offsetting benefit to the buyer. Management argues most balances are resolved within a quarter through future billings rather than cash refunds. Treated as debt-like where the customer has requested a refund, and left in working capital where it will be applied to future invoices. On Customer credits and unapplied, no further procedures were considered necessary once the source document had been inspected. On the substance, included for completeness is accrued discretionary bonus - fy2026 plan at $642,800, provisionally classified as debt-like. On the source,, the bonus relates to performance in periods before closing and would be paid by the buyer out of post-closing cash. The plan is discretionary and the board has withheld payment before, most recently in December 2024. For Accrued discretionary bonus -, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. On Accrued discretionary bonus -, a second preparer reperformed the arithmetic and reached the same figure to the dollar.

On the papers, the reviewer set out the arguments on restricted cash securing the customer performance bond at $246,500, provisionally classified as cash-like. At the cut-off,, the balance is company cash and will be released when the Kadence go-live milestones complete. Because the cash cannot be accessed at closing, a buyer would not count it toward the purchase price. Excluded from cash at closing and disclosed; the release condition is documented in the bond. On Restricted cash securing the, the reviewer notes that management agreed the facts while reserving its position on the treatment. In sequence, also argued in both directions is sales and use tax exposure - three states at $284,700, provisionally classified as tax exposure. On inspection,, no returns were filed in three states where the company has installed hardware and field staff, and the exposure is quantified with interest. Management holds a nexus opinion from its advisers concluding that installation activity alone does not create a filing obligation. Treated as debt-like at the reviewer's low estimate; the opinion is noted and the full range is disclosed. On Sales and use tax, the reviewer notes that management agreed the facts while reserving its position on the treatment. Payroll tax exposure - contractor classification stands at $168,400. On the record,, field contractors engaged before the February 2026 conversion may be reclassified, creating employer tax and penalty exposure. On Payroll tax exposure -, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. Against that, the November 2025 settlement with a former contractor released claims and management treats the matter as closed. For Payroll tax exposure -, the reviewer notes that management agreed the facts while reserving its position on the treatment. Payroll tax exposure - is carried at a working classification of tax exposure.

Read narrowly, the reviewer set out the arguments on deferred revenue on undelivered deployment services at $1,468,300, provisionally classified as contested. By agreement,, the buyer must incur cost to deliver services already paid for, so the balance carries an unfunded delivery obligation. The standard treatment leaves deferred revenue inside working capital, and the peg already reflects its normal level. For Deferred revenue on undelivered, the file records the question asked, the answer given and the document that settled it. On Deferred revenue on undelivered, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. On the substance, on unpaid transaction and success fees the balance is $386,400 and the classification question is live. Some engagement letters make the fee payable only on a completed transaction, which the seller argues is a seller obligation outside net debt. In sequence,, adviser fees triggered by the transaction are pre-closing obligations that the buyer would otherwise fund. Treated as a seller obligation in the funds flow rather than in net debt, with the amount confirmed to the engagement letters. On Unpaid transaction and success, no projection was made from this item because it arises from a single identifiable event. In sequence, turning to deferred consideration - larkspur controls acquisition at $486,500, provisionally classified as deferred consideration. On the record,, the remaining instalment is a fixed obligation payable in January 2027 regardless of performance. Management asserts part of the balance is contingent on the retention of two engineers. For Deferred consideration Larkspur, the reviewer left the amount unchanged after review but strengthened the evidence reference. On Deferred consideration Larkspur, this is one of the items the seller's adviser has indicated it will contest at the closing meeting.

Finance lease - service vehicle fleet stands at $246,800. As to the facts,, fourteen vehicles are held under leases that run to term with bargain purchase options. On Finance lease service, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. Against that, management argues short-remaining-term vehicle leases behave like a recurring operating cost. For Finance lease service, the reviewer confirmed the counterparty is not a

related party before accepting the document at face value. Finance lease service is carried at a working classification of capital lease. Taken alone, on supplier deposits paid on second-generation tooling the balance is $312,800 and the classification question is live. They are prepayments toward capital expenditure the buyer will receive the benefit of, not a liquid asset. On the merits,, the deposits are recoverable in cash if the tooling order is cancelled. Excluded from both cash and working capital; disclosed within the capital expenditure commentary. On Supplier deposits paid on, a second preparer reperformed the arithmetic and reached the same figure to the dollar. At the cut-off, turning to accrued employer payroll taxes on the bonus at $84,600, provisionally classified as debt-like. Per the register,, the payroll tax follows the bonus and is an unavoidable incremental cash cost of settling it. The seller argues payroll taxes are ordinary course and belong in accrued liabilities inside working capital. Treated consistently with the bonus itself and excluded from the working capital peg. On Accrued employer payroll taxes, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result.

Schedule 12.3 - Unbilled receivables and deposits by milestone

Contract / customer	Milestone	Unbilled ($)	Deposit held ($)	Billing trigger	Expected billing	Risk note
HC-2092 / Meridian Cold Chain	Operator training delivered	327,411	91,696	Delivery receipt countersigned at site	2026-07	Trigger depends on a customer-controlled test
HC-2063 / Evergreen Warehousing	Customer acceptance test passed	104,948	92,014	Issue of the quarterly subscription invoice	2026-10	Milestone certificate not yet countersigned
HC-2144 / Vantage Cold Storage	Installation complete	355,391	28,303	Acceptance test certificate	2026-09	Deposit exceeds work performed to date
HC-2150 / Westbourne Grocery	Layout simulation delivered	220,306	49,762	Elapsed time from go-live	2026-07	Trigger depends on a customer-controlled test
HC-2069 / Fathom Mobility	Go-live confirmed	133,960	20,198	Customer sign-off on the milestone certificate	2026-08	Deposit exceeds work performed to date
HC-2086 / Kadence Industrial Hol	Operator training delivered	23,255	42,417	Delivery receipt countersigned at site	2026-09	Billing blocked pending an amendment
HC-2168 / Ashcombe Beverage Dist	Hardware delivered to site	237,887	87,865	Delivery receipt countersigned at site	2026-08	Billing blocked pending an amendment
HC-2121 / Redbank Distribution	Operator training delivered	292,609	128,692	Customer sign-off on the milestone certificate	Awaiting sign-off	Milestone certificate not yet countersigned
HC-2150 / Westbourne Grocery	Thirty-day stabilization complete	111,925	7,697	Customer sign-off on the milestone certificate	Awaiting sign-off	Milestone certificate not yet countersigned
HC-2133 / Thornbury Wholesale	Thirty-day stabilization complete	322,287	98,015	Elapsed time from go-live	2026-09	Ageing beyond ninety days without billing
HC-2058 / Dunbar Industrial	Final handover signed	276,402	36,549	Issue of the quarterly subscription invoice	2026-09	Billing blocked pending an amendment
HC-2150 / Westbourne Grocery	Customer acceptance test passed	341,012	18,248	Customer sign-off on the milestone certificate	2026-07	Billing blocked pending an amendment
HC-2144 / Vantage Cold Storage	Hardware delivered to site	250,424	88,508	Issue of the quarterly subscription invoice	2026-07	Trigger depends on a customer-controlled test
HC-2133 / Thornbury Wholesale	Final handover signed	24,499	131,557	Customer sign-off on the milestone certificate	2026-07	Ageing beyond ninety days without billing
HC-2109 / Pinecrest Retail Servi	Go-live confirmed	39,351	144,748	Issue of the quarterly subscription invoice	2026-10	Billing blocked pending an amendment
HC-2144 / Vantage Cold Storage	Operator training delivered	51,516	14,599	Elapsed time from go-live	Awaiting sign-off	Milestone certificate not yet countersigned

Contract / customer	Milestone	Unbilled ($)	Deposit held ($)	Billing trigger	Expected billing	Risk note
HC-2127 / Saltmarsh Logistics	Customer acceptance test passed	364,409	109,937	Issue of the quarterly subscription invoice	2026-09	Milestone certificate not yet countersigned
HC-2121 / Redbank Distribution	Installation complete	207,437	14,788	Delivery receipt countersigned at site	2026-10	Billing blocked pending an amendment
HC-2150 / Westbourne Grocery	Go-live confirmed	133,849	74,507	Elapsed time from go-live	2026-07	Milestone certificate not yet countersigned
HC-2069 / Fathom Mobility	Final handover signed	74,704	105,868	Issue of the quarterly subscription invoice	Awaiting sign-off	Milestone certificate not yet countersigned
HC-2063 / Evergreen Warehousing	Hardware delivered to site	288,637	34,147	Elapsed time from go-live	2026-07	No risk identified; routine timing
HC-2074 / Granite Peak Distribut	Hardware delivered to site	368,112	142,477	Elapsed time from go-live	2026-08	Milestone certificate not yet countersigned
HC-2168 / Ashcombe Beverage Dist	Customer acceptance test passed	133,756	142,623	Customer sign-off on the milestone certificate	2026-08	No risk identified; routine timing
HC-2086 / Kadence Industrial Hol	Hardware delivered to site	257,503	29,339	Elapsed time from go-live	2026-08	Milestone certificate not yet countersigned
HC-2150 / Westbourne Grocery	Go-live confirmed	155,864	28,010	Elapsed time from go-live	2026-08	Trigger depends on a customer-controlled test
HC-2173 / Brackenridge Supply	Customer acceptance test passed	152,411	112,795	Acceptance test certificate	2026-10	Ageing beyond ninety days without billing

5. Completeness testing over payables and accrued liabilities

Each exception is stated with the document that fixes the service period, since that document rather than the invoice date decides the correct period. On this point,, the reviewer reperformed rather than reviewed management's own calculations wherever the calculation drives an adjustment. Per the index,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap.

On the papers, for Meridian Insurance Brokers the reviewer tested AP-4611 at $31,200, posted in March 2026. On this point,, a premium refund was credited to expense rather than deferred across the replacement policy term. The service period is Annual policy against an invoice dated 2026-04-22. For Meridian Insurance Brokers in Annual policy, the amount is in the right period but the wrong caption, and the reclassification was made in the analysis. On Meridian Insurance Brokers, no further procedures were considered necessary once the source document had been inspected. AP-4261 relates to Brightline Cloud and covers September 2025 at $96,400. As matters stand,, hosting is billed monthly in arrears and the accrual matches the metered usage report for the period. On Brightline Cloud, the conclusion is stated at the low end of the supportable range, as the file convention requires. For Brightline Cloud in September 2025, the period recorded matches the service period and no adjustment arises. The invoice is dated 2025-10-01 and the amount posted in September 2025. AP-4312 relates to Fremont Commercial Bank and covers September 2025 at $24,600. On this point,, accrued interest agrees to the lender statement and to the amortization schedule. On Fremont Commercial Bank, the item was raised in the interim update and is carried forward unchanged into this file. For Fremont Commercial Bank in September 2025, the period recorded matches the service period and no adjustment arises. The invoice is dated 2025-10-05 and the amount posted in September 2025.

AP-4465 relates to Northline Customs Brokers and covers December 2025 at $21,480. In this stream,, brokerage on a December import entry was recorded in January; the entry date establishes the service period. On Northline Customs Brokers, the reviewer notes that management agreed the facts while reserving its position on the treatment. For Northline Customs Brokers in December 2025, cost belonging to the earlier period was recorded later, so the earlier period is understated. The invoice is dated 2026-01-12 and the amount posted in January 2026. Against the ledger, fieldwork tested

AP-4766, Northline Customs Brokers, for $26,940 covering June 2026 and invoiced 2026-07-10. By reference,, brokerage was accrued from the June import entries after the control change made in February 2026. The ledger records the cost in June 2026. For Northline Customs Brokers in June 2026, the period recorded matches the service period and no adjustment arises. On Northline Customs Brokers, the item is cross-referenced to the corresponding entry in the information request register. AP-4583 relates to Larkspur Controls Sellers and covers Deferred consideration at $486,500. In the event,, the instalment falling due in January 2027 is recorded at its contractual amount with no discounting applied. On Larkspur Controls Sellers, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. For Larkspur Controls Sellers in Deferred consideration, the period recorded matches the service period and no adjustment arises. The invoice is dated 2026-04-01 and the amount posted in March 2026.

On this point, also tested was AP-4522, Sandhill Staffing, for $46,900 covering March 2026 and invoiced 2026-04-09. In the file,, agency hours are now accrued from the timekeeping export rather than from invoices, and the March accrual agrees. The ledger records the cost in March 2026. For Sandhill Staffing in March 2026, the period recorded matches the service period and no adjustment arises. On Sandhill Staffing, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. On the substance, the sample carries AP-4233, Halloran Electrical, for $18,420 covering September 2025 and invoiced 2025-10-11. On the substance,, the accrual was raised from the work order and agrees to the invoice within a small variance cleared in October. The ledger records the cost in September 2025. For Halloran Electrical in September 2025, the period recorded matches the service period and no adjustment arises. On Halloran Electrical, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. On the documents, the cutoff sample includes AP-4698, Lattimer Legal LLP, for $68,400 covering June 2026 and invoiced 2026-07-16. In this stream,, unbilled legal work was estimated by counsel in a written confirmation obtained during fieldwork. The ledger records the cost in June 2026. For Lattimer Legal LLP in June 2026, the amount rests on an estimate rather than an invoice, and the estimate was corroborated during fieldwork. On Lattimer Legal LLP, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected.

On the merits, for Corvid Metalworks the reviewer tested AP-4402 at $58,300, posted in December 2025. By reference,, the December goods receipt was accrued from the receiving log, which the reviewer confirmed is now the source for the accrual. The service period is December 2025 against an invoice dated 2026-01-08. For Corvid Metalworks in December 2025, the period recorded matches the service period and no adjustment arises. On Corvid Metalworks, the reviewer declined to net this item against another with an opposite direction in the same period. AP-4438 relates to Wetherby Freight Services and covers December 2025 at $27,315. In review,, the duplicated November freight accrual reversed here, so December cost is understated and November overstated. On Wetherby Freight Services, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. For Wetherby Freight Services in December 2025, the reversal of an earlier duplication lands here, so this period is overstated and the earlier one understated. The invoice is dated 2026-01-05 and the amount posted in December 2025. On this point, the cutoff sample includes AP-4371, Ashgrove Facilities, for $12,840 covering September 2025 and invoiced 2025-10-03. On the papers,, cleaning and facilities charges are recurring and were accrued from the standing service schedule. The ledger records the cost in September 2025. For Ashgrove Facilities in September 2025, the period recorded matches the service period and no adjustment arises. On Ashgrove Facilities, the evidence was inspected in original form rather than as a management-prepared summary.

6. Cash proof and receipt matching

Cash proof is the strongest evidence available in an unaudited record, which is why coverage was pushed as high as the bank statements allowed. On any view,, certain amounts described here as agreed were agreed with management during fieldwork and have not been re-presented in a revised set of financial statements. By agreement,, no procedures were performed on income taxes beyond identifying the exposures listed, and no view is expressed on the recoverability of any deferred tax balance.

On the source, a further receipt, a receipt of $348,620 banked on 2026-03-19 against INV-8884, where the applied amount was $346,980, a variance of $1,640. In sequence,, bank charges deducted by the paying bank rather than an invoice dispute. On bank charges deducted, the receipt was traced from the bank statement to the cash book and then to the customer account. Against bank charges deducted, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. Full match; remittance is the recorded cause on a receipt of $486,240 banked

on 2026-01-14 and matched to INV-8814, INV-8817. For full match; remittance on matching, the applied amount agrees at $486,240 with no variance. On this point,, full match; remittance advice identified both invoices. Against full match; remittance, no further procedures were considered necessary once the source document had been inspected. Both the bank entry and the ledger posting were inspected. On inspection, the proof covers a receipt of $512,900 banked on 2026-02-26 against INV-8861, where the applied amount agrees at $512,900 with no variance. In review,, milestone payment matched to a single invoice with the customer's purchase order reference. On milestone payment matched, the receipt was traced from the bank statement to the cash book and then to the customer account. Against milestone payment matched, the reviewer recorded that no comparable item was found in the two earlier periods examined.

Overpayment applied to is the recorded cause on a receipt of $53,400 banked on 2026-03-27 and matched to INV-8791 (settled). For overpayment applied to on matching, no invoice was applied against it, so the whole $53,400 sat outside trade receivables. On a second read,, overpayment applied to a settled invoice and released to revenue; reversed in the analysis. Against overpayment applied to, the reviewer recorded that no comparable item was found in the two earlier periods examined. Both the bank entry and the ledger posting were inspected. Per the index, the cash proof records a receipt of $96,540 banked on 2026-06-25 against INV-8981, INV-8983, where the applied amount agrees at $96,540 with no variance. In review,, full match against two subscription invoices. On full match against, the receipt was traced from the bank statement to the cash book and then to the customer account. Against full match against, the reviewer declined to net this item against another with an opposite direction in the same period. On the documents, the proof covers a receipt of $92,180 banked on 2026-05-06 against INV-8931, where the applied amount agrees at $92,180 with no variance. On testing,, full match; subscription invoice settled by direct debit. On full match; subscription, the receipt was traced from the bank statement to the cash book and then to the customer account. Against full match; subscription, the reviewer declined to net this item against another with an opposite direction in the same period.

Withholding applied by is the recorded cause on a receipt of $214,680 banked on 2026-06-18 and matched to INV-8974. For withholding applied by on matching, the applied amount was $216,200, a variance of $1,520. Against the ledger,, withholding applied by the customer's shared service centre and recovered in July. Against withholding applied by, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. Both the bank entry and the ledger posting were inspected. On the documents, the sample includes a receipt of $68,400 banked on 2026-06-30 against Undeposited, where the applied amount agrees at $68,400 with no variance. In substance,, cheques received and recorded on the last day but not deposited until July. On cheques received and, the receipt was traced from the bank statement to the cash book and then to the customer account. Against cheques received and, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. On its facts, the bank record shows a receipt of $164,300 banked on 2026-05-21 against INV-8944, INV-8947, where the applied amount was $165,480, a variance of $1,180. In substance,, short payment pending resolution of a duplicated spares charge. On short payment pending, the receipt was traced from the bank statement to the cash book and then to the customer account. Against short payment pending, the reviewer confirmed that the same item does not also appear on the net debt schedule.

Receipt from a is the recorded cause on a receipt of $38,600 banked on 2026-05-29 and matched to Unapplied. For receipt from a on matching, no invoice was applied against it, so the whole $38,600 sat outside trade receivables. Per the register,, receipt from a customer with no open invoice; identified as a prepayment for a July 2026 milestone. Against receipt from a, the reviewer confirmed the amount does not also sit within the working capital peg. Both the bank entry and the ledger posting were inspected. Small subscription invoice is the recorded cause on a receipt of $26,840 banked on 2026-02-11 and matched to INV-8848. For small subscription invoice on matching, the applied amount agrees at $26,840 with no variance. Per the register,, small subscription invoice settled by card and matched automatically. Against small subscription invoice, the reviewer notes that management agreed the facts while reserving its position on the treatment. Both the bank entry and the ledger posting were inspected. On this point, the receipt banked 2026-05-14 for $468,720 was traced to INV-8938. As to the facts,, hardware invoice settled in full on contractual terms. After matching against hardware invoice settled, the applied amount agrees at $468,720 with no variance. On hardware invoice settled, the reviewer confirmed the posting date agrees with the bank value date. Against hardware invoice settled, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment.

Schedule 12.4 - Working capital peg sensitivity

Definition variant	Included	Excluded	Computed level ($)	Difference vs reference ($)	Comment
Trailing twelve-month average	All trade and other working capital	Cash, debt, deferred consideration	3,427,208	172,651	Preferred by the buyer
Trailing six-month average	All trade and other working capital	Cash, debt, deferred consideration	2,791,820	(462,737)	Adopted as the reference definition
Quarter-end average of four quarters	Trade balances only	Prepaid transaction costs	3,606,685	352,128	Presented for sensitivity only
Month-end average excluding December	All trade and other working capital	Seasonal December inventory build	2,735,766	(518,791)	Not supportable without the missing count sheets
Trailing twelve months excluding deferred revenue	Trade balances and inventory	Deferred revenue, customer deposits	3,825,678	571,121	Not supportable without the missing count sheets
Trailing twelve months excluding unbilled	Trade balances and inventory	Unbilled receivables	3,011,346	(243,211)	Adopted as the reference definition
Median of trailing twelve month-ends	All trade and other working capital	Cash, debt, tax balances	3,963,785	709,228	Adopted as the reference definition
Latest three months average	All trade and other working capital	Cash, debt, tax balances	2,687,827	(566,730)	Adopted as the reference definition
Trailing twelve months, revolver excluded	All trade and other working capital	Revolver borrowings	2,974,621	(279,936)	Preferred by the buyer
Trailing twelve months, PTO excluded	All trade and other working capital	Unfunded paid time off	3,176,701	(77,856)	Rejected as too sensitive to a single month
Trailing twelve months, credits excluded	All trade and other working capital	Customer credits owed	2,960,610	(293,947)	Presented for sensitivity only
Trailing twelve months, bonus excluded	All trade and other working capital	Accrued discretionary bonus	2,807,889	(446,668)	Presented for sensitivity only
Trailing twelve months, gross basis	All balances including intercompany	None	3,690,066	435,509	Preferred by the seller
Trailing twelve months, Ontario excluded	Parent company balances only	Ontario subsidiary balances	2,821,698	(432,859)	Presented for sensitivity only
Seasonally adjusted twelve-month average	All trade and other working capital	Cash, debt, seasonal peak	2,920,612	(333,945)	Consistent with the draft agreement
Contractual definition as drafted	As listed in the draft definition	As listed in the draft definition	2,832,137	(422,420)	Preferred by the seller

7. Where the record rests on representation rather than evidence

Where management asserted a position and the supporting document was not produced, the assertion is recorded as an assertion and nothing more. At the cut-off,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent. From the extract,, management represented that the spares pool is fully counted, although the count sheets provided cover only part of the pool.

On this point,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. From the extract,, journal approval operates through a workflow field that can be left blank, and the reviewer found it blank on entries with a material aggregate value. In detail,, management represented that the spares pool is fully counted, although the count sheets provided cover only part of the pool. By agreement, testing covered ADJ-15, Unrecorded liability for the September 2025 spares purchase, which deducts $71,640 against FY2025 on a normalization basis. Read narrowly,, spares received in the last week of September 2025 were not accrued and the invoice posted in October, moving cost out of the period in which the parts were consumed. Support consists of the vendor statement reconciliation and the goods receipt note, and the item was put forward by diligence. Unrecorded liability for the was accepted at $71,640: the goods receipt note establishes the service period and the vendor statement confirms the amount. On Unrecorded liability for the, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment.

In sequence,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption. On any view,, the engineering ticket population supporting capitalization decisions was provided in extract form and the reviewer could not confirm that the extract is complete. On the documents,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. ADJ-05 concerns severance for the departed vp of operations and was raised by management as a non-recurring item. On the substance,, the separation payment was a single negotiated settlement and the role was refilled at a lower base salary in November 2025. On Severance for the departed, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference. Severance for the departed is recorded as a add-back of $186,400 in FY2025, evidenced by the separation agreement and the payroll register for August and September 2025. Severance for the departed was accepted at $186,400: the agreement fixes both the amount and the payment dates, and the successor's offer letter supports the lower run-rate.

On the balance,, bank reconciliations are prepared monthly and reviewed, but three months carry unexplained items that were carried forward rather than cleared. By reference,, reconciliation differences are reported at the amount found, including small residuals, rather than being described as immaterial and omitted. By agreement,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. By reference, diligence proposed ADJ-40 at $65,000 for FY2024, described as government innovation grant recognized in other income. By reference,, a state innovation grant was recognized in a single tranche on receipt and is not available in the periods a buyer would own. Government innovation grant recognized was accepted at $65,000: the grant agreement is a fixed-term programme that expired in 2025, so its removal is supported by the instrument itself. Government innovation grant recognized carries a recurrence judgment of normalization, and the supporting file is the grant agreement, the milestone certification and the receipt advice. On Government innovation grant recognized, the item is cross-referenced to the corresponding entry in the information request register.

In the event,, capitalization decisions were documented at project level rather than at ticket level until the control change made in April 2026. On this point,, management represented that no bonus was payable for FY2024 following a board decision, and the minutes provided record the decision but not the terms of the plan itself. Per the index,, the reviewer has not verified the completeness of the contract population beyond reconciling the contract register to the billing system and to recorded revenue. ADJ-22 concerns contractor conversion cost differential and was raised by management as a run-rate item. On testing,, eleven field technicians converted from agency contracts to direct employment in February 2026, and management annualizes the resulting rate saving. On Contractor conversion cost differential, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. Contractor conversion cost differential is recorded as a deduction of $138,900 in Q1-2026, evidenced by offer letters for eleven converted contractors and the contractor billing history. Contractor conversion cost differential was reduced at $92,400 and the reason sits on the schedule itself.

Schedule 12.5 - Accrual cutoff test results

Voucher	Vendor	Invoice date	Service period	Amount ($)	Period recorded	Cutoff conclusion
AP-4207	Corvid Metalworks	2025-10-02	September 2025	71,640	October 2025	Understated
AP-4233	Halloran Electrical	2025-10-11	September 2025	18,420	September 2025	Correct
AP-4261	Brightline Cloud	2025-10-01	September 2025	96,400	September 2025	Correct
AP-4288	Sandhill Staffing	2025-10-14	September 2025	34,720	October 2025	Understated
AP-4344	Lattimer Legal LLP	2025-10-20	August-September 2025	50,000	September 2025	Estimate
AP-4371	Ashgrove Facilities	2025-10-03	September 2025	12,840	September 2025	Correct
AP-4402	Corvid Metalworks	2026-01-08	December 2025	58,300	December 2025	Correct
AP-4465	Northline Customs Brokers	2026-01-12	December 2025	21,480	January 2026	Understated
AP-4522	Sandhill Staffing	2026-04-09	March 2026	46,900	March 2026	Correct
AP-4558	Halloran Electrical	2026-04-14	March 2026	32,400	April 2026	Understated
AP-4583	Larkspur Controls Sellers	2026-04-01	Deferred consideration	486,500	March 2026	Correct
AP-4611	Meridian	2026-04-22	Annual policy	31,200	March 2026	Reclassification

Voucher	Vendor	Invoice date	Service period	Amount ($)	Period recorded	Cutoff conclusion
	Insurance Brokers					
AP-4672	Wetherby Freight Services	2026-07-03	June 2026	38,460	June 2026	Correct
AP-4698	Lattimer Legal LLP	2026-07-16	June 2026	68,400	June 2026	Estimate
AP-4721	Sandhill Staffing	2026-07-08	June 2026	22,180	July 2026	Understated
AP-4744	Ashgrove Facilities	2026-07-02	June 2026	14,620	June 2026	Correct
AP-4766	Northline Customs Brokers	2026-07-10	June 2026	26,940	June 2026	Correct

8. Open items and outstanding information requests

The reviewer has not closed items on the basis of a verbal assurance; an item stays open until the document exists. By agreement,, no financial statement for any period in scope has been audited; FY2024 and FY2025 were subject to a review engagement and the 2026 stub has had no external involvement at all. On the merits,, period attribution is decided from the document that fixes the service period, not from the invoice date, wherever the two differ.

At the cut-off, the seller - counsel holds IR-019, retention agreements underpinning the larkspur earn-out, requested 2026-06-18. In review,, the split between fixed deferred consideration and retention-contingent amounts cannot be finalized, so part of the balance stays in a range. On retention agreements underpinning the, as at the date of this file the response is partially received and the item is open. For retention agreements underpinning the, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. By agreement, the seller - operations holds IR-081, inventory count sheets for the june 2026 physical count, requested 2026-07-01. On the papers,, count coverage of the spares pool cannot be confirmed, so inventory in the working capital peg rests on the perpetual records. On inventory count sheets for, as at the date of this file the response is partially received and the item is open. For inventory count sheets for, the item was selected for testing because of its characteristics rather than its size. IR-041 asks for engagement letters for all adviser fees in the period. The request for engagement letters for all was raised on 2026-06-23 with the seller - finance director and the response is partially received, leaving the item open. For engagement letters for all, the item was projected across the population on the basis stated in the accompanying schedule. On the substance,, two invoices remain unsupported, so the split between transaction and ordinary-course professional fees is provisional.

On the record, outstanding is IR-099, reconciliation of the fixed asset register to the ledger, addressed to the seller - controller and requested on 2026-07-03; nothing has been provided. The status is recorded as open. By agreement,, depreciation in the earnings measure cannot be tied to the register, which limits the capital expenditure commentary. For reconciliation of the fixed, the reviewer notes that management agreed the facts while reserving its position on the treatment. As matters stand, the information request log records IR-049, customer credit and unapplied cash listing at 2026-06-30, addressed to the seller - credit control and requested on 2026-06-24; material was provided on 2026-07-03. The status is recorded as closed. Per the workpaper,, the listing supported the customer credit balance treated as debt-like and reconciled to the aged receivable report. For customer credit and unapplied, the item was selected for testing because of its characteristics rather than its size. IR-027 asks for billing system extract reconciled to the general ledger by month. The request for billing system extract reconciled was raised on 2026-06-19 with the seller - controller and material was provided on 2026-06-27, leaving the item closed. For billing system extract reconciled, the explanation offered was plausible and was still corroborated against a document before being accepted. In review,, the extract was reconciled and the residual monthly differences are immaterial and explained.

IR-014 asks for signed acceptance certificate for crestline site three. The request for signed acceptance certificate for was raised on 2026-06-18 with the seller - deployment lead and nothing has been provided, leaving the item open. For signed acceptance certificate for, the evidence was inspected in original form rather than as a management-prepared summary. On this point,, without a dated certificate the transfer month rests on the installer's log, leaving a month of hardware revenue in the wrong period. On testing, the seller - accounts payable holds IR-115, vendor statements for the ten largest suppliers, requested 2026-07-07. On reperformance,, accrual completeness testing coverage falls below the planned level for three suppliers. On vendor statements for the, as at the date of this file the response is partially received and the item is open. For vendor statements for the, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. IR-103 asks for change request pricing for the vantage additional

units. The request for change request pricing for was raised on 2026-07-06 with the seller - commercial and nothing has been provided, leaving the item open. For change request pricing for, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. By reference,, variable consideration arising after the cut-off cannot be estimated, so the post-cut-off revenue trend is qualified.

On testing, the seller - procurement holds IR-067, supplier settlement letter for the harness rework recovery, requested 2026-06-29. On the source,, the letter confirmed the recovery amount and allowed the campaign to be presented on a net basis. On supplier settlement letter for, as at the date of this file material was provided on 2026-07-02 and the item is closed. For supplier settlement letter for, no further procedures were considered necessary once the source document had been inspected. On any view, the reviewer requested IR-107, detail of the fy2026 discretionary bonus by participant, addressed to the seller - hr director and requested on 2026-07-06; the response is partially received. The status is recorded as open. As matters stand,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced. For detail of the fy2026, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. On inspection, outstanding is IR-056, payroll register reconciled to the general ledger by month, addressed to the seller - payroll manager and requested on 2026-06-25; material was provided on 2026-07-09. The status is recorded as closed. Taken alone,, the reconciliation supported the compensation analysis and the annualization of the support team build. For payroll register reconciled to, the reviewer confirmed the amount does not also sit within the working capital peg.

Schedule 12.6 - Reported to adjusted revenue by stream

Stream and period	Reported ($)	Timing adjustments ($)	Allocation adjustments ($)	Adjusted ($)	Evidence basis
Subscription - FY2024	10,021,480	82,887	(66,949)	10,037,418	Attendance records
Subscription - FY2025	1,132,857	13,998	42,462	1,189,317	Attendance records
Subscription - LTM Jun-2026	7,727,493	(61,724)	65,650	7,731,419	Billing extract reconciled to the ledger
Subscription - Q2-2026	4,466,149	(30,180)	25,211	4,461,180	Credit memoranda
Hardware - FY2024	8,474,874	129,623	18,740	8,623,237	Credit memoranda
Hardware - FY2025	10,713,129	(151,752)	(36,501)	10,524,876	Milestone certificates
Hardware - LTM Jun-2026	14,054,545	(47,785)	(55,277)	13,951,483	Allocation workpaper
Hardware - Q2-2026	1,377,987	65,209	(29,713)	1,413,483	Allocation workpaper
Deployment services - FY2024	9,923,565	(100,778)	(70,583)	9,752,204	Billing extract reconciled to the ledger
Deployment services - FY2025	9,452,470	(156,838)	(18,388)	9,277,244	Billing extract reconciled to the ledger
Deployment services - LTM Jun-2026	6,836,528	(85,302)	(73,033)	6,678,193	Attendance records
Deployment services - Q2-2026	11,265,799	105,998	(65,051)	11,306,746	Attendance records
Training and onboarding - FY2024	10,906,158	105,298	37,915	11,049,371	Credit memoranda
Training and onboarding - FY2025	6,430,331	(35,051)	17,278	6,412,558	Billing extract reconciled to the ledger
Training and onboarding - LTM Jun-2026	7,330,983	79,039	(73,484)	7,336,538	Milestone certificates
Training and onboarding - Q2-2026	4,848,116	(25,895)	(4,382)	4,817,839	Credit memoranda
Analytics module - FY2024	5,594,557	(112,063)	(41,641)	5,440,853	Attendance records
Analytics module - FY2025	3,974,452	103,862	(81,765)	3,996,549	Billing extract reconciled to the ledger
Analytics module - LTM Jun-2026	10,120,478	(54,978)	(64,411)	10,001,089	Milestone certificates
Analytics module -	10,412,545	(108,255)	45,809	10,350,099	Acceptance

Stream and period	Reported ($)	Timing adjustments ($)	Allocation adjustments ($)	Adjusted ($)	Evidence basis
Q2-2026					certificate dates
Service credits - FY2024	13,623,178	75,252	27,572	13,726,002	Acceptance certificate dates
Service credits - FY2025	472,974	(130,908)	42,791	384,857	Attendance records
Service credits - LTM Jun-2026	2,802,473	10,965	(51,345)	2,762,093	Attendance records
Service credits - Q2-2026	13,962,279	55,970	(32,537)	13,985,712	Attendance records

9. Limitations, unresolved matters and what a reader must not infer

A diligence record is only useful if it is honest about its gaps, so the reviewer lists here every matter that could not be resolved within the fieldwork window. Taken alone,, revenue recognition decisions are made contract by contract without a standing checklist, so treatment depends on who prepared the memorandum. On the merits,, the engagement is analytical and evidence-based rather than an audit, a review or an examination, and no opinion or assurance conclusion is expressed on any period or balance.

By agreement,, management represented that the retention-contingent portion of the deferred consideration is genuinely contingent, and the retention agreements have only partly been provided. On the merits,, approver fields are blank on a subset of journal entries, which prevents any conclusion on the operation of the journal approval control during the affected periods. Taken alone,, certain amounts described here as agreed were agreed with management during fieldwork and have not been re-presented in a revised set of financial statements. Per the index, the register carries IR-049, customer credit and unapplied cash listing at 2026-06-30, addressed to the seller - credit control and requested on 2026-06-24; material was provided on 2026-07-03. The status is recorded as closed. Per the register,, the listing supported the customer credit balance treated as debt-like and reconciled to the aged receivable report. For customer credit and unapplied, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items.

On a second read,, management represented that installation activity alone does not create a state filing obligation, relying on an adviser's opinion whose scope has not yet been compared with the states involved. On the substance,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only. On the merits,, the reviewer reperformed rather than reviewed management's own calculations wherever the calculation drives an adjustment. On this point, the seller - deployment lead holds IR-014, signed acceptance certificate for crestline site three, requested 2026-06-18. On the source,, without a dated certificate the transfer month rests on the installer's log, leaving a month of hardware revenue in the wrong period. On signed acceptance certificate for, as at the date of this file nothing has been provided and the item is open. For signed acceptance certificate for, the reviewer's conclusion here differs from the position taken in the seller's own vendor material.

Against the ledger,, the engineering ticket population supporting capitalization decisions was provided in extract form and the reviewer could not confirm that the extract is complete. On any view,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger. On the balance,, the chart of accounts was re-mapped in July 2025, and every trend presented here uses the later mapping applied retrospectively so that period comparisons are on a consistent basis. Per the workpaper, the seller - revenue accountant holds IR-088, analysis of the pinecrest option pricing against list, requested 2026-07-02. Per the register,, the material right judgment stays open, and any allocation to the option would move revenue between periods. On analysis of the pinecrest, as at the date of this file nothing has been provided and the item is open. For analysis of the pinecrest, no projection was made from this item because it arises from a single identifiable event.

On testing,, where an exception is identified, the reviewer states the population, the value tested, the coverage achieved and the projected effect before proposing any adjustment. On the evidence,, where a normalization depends on an assumption about future negotiation, the reviewer declines the adjustment and discloses the exposure instead. On the merits,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. On the record, the register carries IR-034, board minutes evidencing the december 2024 bonus decision, addressed to the seller - company secretary and requested on 2026-06-20; material was provided on 2026-07-08. The status is recorded as received - insufficient. On a second read,,

the minutes record the decision but not the plan terms, so the reviewer relies on management's representation that the bonus remained available. For board minutes evidencing the, the reviewer confirmed that the same item does not also appear on the net debt schedule.

Filed here is a point that would otherwise sit only in the reviewer's own notes rather than in the record. Financing and diligence legal and the unapproved manual entry entry recorded as JE-26-0556 arise from the same underlying facts. On Financing and diligence legal, the fees relate to financing preparation and diligence response rather than to running the business, and the engagement letters scope the work accordingly. For the unapproved manual entry entry, a headcount annualization entry was posted at the period end with no approver and no supporting offer letters attached. Financing and diligence legal is reported at $318,455 and the entry at $168,000, so neither is counted twice.

A supplementary note is retained in the file on the following point, which was raised in review but did not change a schedule. Equipment finance facility - sits alongside the position the reviewer took on Prepaid maintenance expensed on. On Equipment finance facility -, management notes the assets financed are productive and would be replaced with new borrowing in any case. Turning to Prepaid maintenance expensed on, the contract term is explicit and the prepaid schedule shows no corresponding asset, so the misstatement is a matter of arithmetic rather than judgment. Equipment finance facility - is carried at $2,846,500 while the adjustment accepted on Prepaid maintenance expensed on was $46,900.